



The Morning Brief

MAY 1, 2026

Records, Broadly

Thursday's all-cap rally and a Mag7 capex commitment above \$650B reset the AI-tape multiple ahead of Friday's ISM print and the CVX, CL, and CHD reports.

S&P 500 ~7,187 ↑0.99%	RUSSELL 2000 \$277.97 ↑2.16%	CAT \$890.11 ↑9.88%	QCOM \$179.58 ↑15.12%	FEAR & GREED 26 · Fear
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SECTION 01

Markets

RECORDS ON BROADENING LEADERSHIP — THE RUSSELL OUTPACES THE NASDAQ, INDUSTRIALS CARRY THE TAPE

The S&P 500 advanced 0.99% to roughly 7,187, a fresh all-time closing high per Yahoo Finance and CNBC characterization of the session, with the Dow up 1.63% and the Russell 2000 leading at +2.16%. The notable feature is the breadth: ten of eleven sectors finished green, with industrials at +2.74%, utilities at +2.56%, healthcare at +2.21%, real estate at +1.74%, and staples at +1.68% all outperforming technology, which posted only a 0.25% advance. NVDA fell 4.63% to \$199.57 even as the index traded to records — an unusual configuration that confirms Wednesday's rotation has now resolved into a non-tech rally rather than a broad de-risking. UVXY compressed 4.02%, and the small-cap leadership pattern is consistent with positioning that has rotated toward cyclicals, financials-adjacent (XLF +0.40%), and rate-sensitive defensives. Carson's SPY support at \$645.80 remains active and unchallenged with the index well above the level.

CAT POSTS A MATERIAL BEAT AND RAISES GUIDANCE — THE INDUSTRIAL-AI-DATACENTER LINKAGE IS NOW QUANTIFIED

Caterpillar reported Q1 adjusted EPS of \$5.54 against \$4.66 consensus per the data drop, with Yahoo Finance and Benzinga reporting revenue growth of 22% to \$17.42B versus \$16.61B expected. Construction Industries sales rose 30% to \$7.2B with segment margin expanding 160 basis points, while Power and Energy revenue advanced 22%. Management raised full-year sales guidance to low double-digit growth and trimmed the projected tariff hit to \$2.2B–\$2.4B from \$2.6B prior, citing IJIA-supported infrastructure spend and data-center construction as the principal demand drivers per the company's prepared remarks. The print took CAT up 9.88% to \$890.11 on the session and provides concrete read-across to STLD (+1.91%), FAST (+2.79%), GPC (+3.82%), PCAR

(+0.56%), and the broader IOWN industrial-physical-AI thesis. The 9.88% rally also confirms the rotation framework: capital is moving from multiple-driven AI semiconductors into the cash-flow-real-asset providers that monetize the physical buildout.

QCOM Q2 SURGES 15% ON AI-EDGE BEAT — SYK MISSES ON CYBER DISRUPTION, THE DISPERSION THEME HOLDS

QCOM posted Q2 EPS of \$2.65 against \$2.61 consensus per the data drop, a clean beat that took the stock up 15.12% to \$179.58 with an intraday range of \$163.56–\$186.89 and trading volume confirming institutional repositioning per Yahoo Finance and FintHub coverage. The reported OpenAI-MediaTek custom-chip optionality that the SeekingAlpha Q2 preview flagged as the central narrative drove the print's

reception, although the structural Apple modem-insourcing risk and 2027 royalty cliff remain in place. SYK was the contrast point in the dividend sleeve: Q1 EPS of \$2.60 versus \$3.01 expected, a material miss that the SeekingAlpha and Yahoo Finance call transcripts attribute to cyber-related operational disruption during the quarter. SYK closed unchanged at \$315.13 as the print had been telegraphed. CAT, GD (+1.64% after the company raised its 2026 EPS guidance on Marine segment strength per Yahoo Finance), CTRA, and VLO (+0.51% on the refining-margin beat) round out the IOWN reporting cohort — four of five names beat consensus with only SYK falling short.

S&P 500	~7,187 · ↑0.99% · Fresh all-time closing high
RUSSELL 2000	\$277.97 · ↑2.16% · Small-cap leadership
SECTOR BREADTH	10 of 11 green · Industrials ↑2.74% leads · Tech ↑0.25% laggard
CAT	\$890.11 · ↑9.88% · Q1 beat, raised guidance
QCOM	\$179.58 · ↑15.12% · Q2 beat on AI-edge optionality
NVDA	\$199.57 · ↓4.63% · Tech-sleeve laggard on a record day

When the Russell outperforms the Nasdaq by 1.2 points and CAT outperforms NVDA by 14.5 points on a record-print day, the rotation has resolved — capital is finding the names that monetize physical AI buildout rather than the chips that enable it. Research Reveals Opportunities.

Geopolitics

IRAN TRUCE HOLDS, OIL PULLS BACK — THE WAR-POWERS DEADLINE IS NOW THE CLEANEST CATALYST

USO declined 2.35% to \$147.09 and BNO eased 0.48% as a US official confirmed to Reuters that the Iran ceasefire has terminated hostilities for the purposes of the War Powers Act deadline, removing one of the structural risk premia that had supported crude through April. CNBC reporting Friday morning indicates Brent settled at \$114.01 after briefly touching a four-year high earlier in the week, while CBS News notes that Iran has refused to reopen the Strait of Hormuz unless the US lifts its blockade of Iranian ports. The truce holds, but the Strait remains effectively impeded and both sides have continued seizing vessels accused of violating restrictions per CBS coverage. The IOWN energy sleeve diverged: CVX advanced 0.57% to \$193.31 ahead of this morning's print, OKE rallied 3.52% on a Scotiabank downgrade reversal, VLO held +0.51% on Q1 refining-margin strength, while CNX softened 1.04%. Natural gas (UNG +4.43%) was the clear commodity outperformer as the war-related disruption to LNG arbitrage routes remains in place.

CTRA EXITS THE S&P 500 MAY 7 — DEVON MERGER CLOSES THE LOOP ON A \$58B SHALE COMBINATION

S&P Dow Jones Indices announced after Wednesday's close that Veeva Systems will replace Coterra Energy in the S&P 500 effective prior to the open on May 7, with Devon Energy's acquisition of Coterra in an all-stock \$58B transaction expected to close in Q2 2026 per Devon's investor materials and CNBC coverage. The combination creates a Permian-focused operator with pro forma production exceeding 1.6 million barrels of oil equivalent per day and targeted annual pre-tax merger synergies of approximately \$1.0B once realized per the merger announcement. CTRA closed up 0.64% to \$35.91 on the session, with the index-removal mechanic likely to drive forced selling from passive S&P trackers into next Wednesday's close. The implication for the IOWN dividend sleeve: CTRA holders will receive Devon shares at the merger close, materially reshaping the energy sub-sleeve's composition. The transaction also confirms the consolidation thesis: capital is rewarding scale operators in the Delaware Basin, and the Coterra exit is a clean read-through to the structural pricing pressure that justifies the broader IOWN energy weighting.

HASSETT OUTLINES FERTILIZER COST-REDUCTION PLAN — NTR SITS AT THE CENTER OF A MULTI-AGENCY PUSH

National Economic Council Director Kevin Hassett joined Interior Secretary Burgum, Commerce Secretary Lutnick, EPA Administrator Zeldin, and USDA Secretary Rollins to

outline a coordinated administration push to reduce fertilizer costs ahead of the spring planting season per Brownfield Ag News, DTN, and Hoosier Ag Today coverage. The plan targets a 30% expansion in domestic nitrogen production and over 200% expansion in domestic phosphate production over the next 12–24 months, supported by streamlined permitting and trade-policy adjustments per the announcement. Nutrien officials announced support for lifting the countervailing duties currently applied to certain phosphate imports, distinguishing the company's posture from competitor Mosaic, which continues to back the duties. NTR closed up 2.52% to \$76.00 on the session as Benzinga reporting confirmed the policy direction. The IOWN materials and agricultural-input exposure runs primarily through NTR and tangentially through FCX (+1.49%) on the broader commodity pull — the policy framework is constructive for domestic producers willing to take share from the import channel.

IRAN TRUCE Holds · War-powers deadline terminated (Reuters)

OIL USO ↓2.35% · BNO ↓0.48% · De-escalation read

HORMUZ Still impeded · Iran ports blockaded by US

CTRA / S&P Exits May 7 · Devon merger Q2 close · \$58B all-stock

NAT GAS (UNG) \$10.60 · ↑4.43% · LNG arbitrage premium

NTR \$76.00 · ↑2.52% · Fertilizer plan supports domestic share

On Our Radar

1. Mag7 capex commitments above \$650B for 2026 reset the AI-tape framework — the question is now monetization, not aspiration. Microsoft committed to roughly \$190B in 2026 capital expenditure with the Q4 step-up flagged in the call commentary per CNBC compilations, Alphabet raised its 2026 range to \$180B–\$190B from \$175B–\$185B prior with Google Cloud growing 63% year-over-year, Meta widened its range to \$125B–\$145B from \$115B–\$135B, and Amazon’s Andy Jassy confirmed approximately \$200B for the year per Fortune, Benzinga, and CNBC compilations. Apple closed the loop after Thursday’s close with Q2 revenue of \$111.2B (+17%), a \$100B incremental buyback authorization, and a 14–17% June quarter revenue guide per CNBC and TipRanks coverage. The shares traded approximately +3% in the after-hours per Yahoo Finance. Thursday’s 4.63% NVDA decline against a record-print day signals positioning has begun to discriminate within the AI complex — the IOWN growth-sleeve names that monetize the buildout (CRDO, MRVL, NXPI, KEYS, LRCX) saw mixed action with MRVL up 5.48%, NXPI up 1.50%, KEYS up 4.31%, LRCX up 3.66%, and CRDO down 1.00%. *Think Like an Owner.*

2. CVX reports pre-market today — the read on refining margins and timing-charge cleanup will define the integrated-energy thesis. Chevron consensus sits near \$1.17 EPS on revenue of \$51.86B per Meyka and Yahoo Finance compilations, with the SeekingAlpha and Benzinga previews flagging a noisy quarter due to disclosed downstream timing charges of \$2.7B–\$3.7B after tax from spinoff mark-to-market and LIFO accounting. The structural cost-savings program targeting \$3B–\$4B by year-end 2026 has already delivered roughly \$1.5B in 2025 with a \$2B annual run rate per Chevron’s prior commentary. VLO’s clean Q1 beat (\$4.22 versus \$3.18 expected) on refining-margin strength sets the bar; CVX’s downstream commentary will determine whether the IOWN energy sleeve’s thesis on durable refining margins survives the pre-tax timing noise. CL (\$0.97 estimate) and CHD (\$0.94) also report this morning — both consumer-staples names where the dispersion question from CHD’s prior JPMorgan Neutral framing is the principal uncertainty. *Research Reveals Opportunities.*

3. ISM Manufacturing PMI prints at 10:00 AM ET with the prices-paid component the key inflation signal.

Consensus from the data drop sits at 53.0 for the headline (prior 52.7), 49.0 for employment (prior 48.7), and a notable 80.0 for prices paid (prior 78.3). The S&P Global Manufacturing PMI Final at 9:45 AM ET is consensus 54.0 versus 52.3 prior. The prices-paid print is the more market-relevant signal: an 80-handle would reflect both the energy-driven inflation backdrop and the tariff-related input-cost pressure that CAT explicitly cited in its tariff guidance trim. The Wednesday FOMC's 8–4 dissent, with the four hawks reportedly seeking removal of the easing bias per CNBC and Fox Business reporting on Powell's final press conference as chair, sets the rates backdrop. TLT closed at \$85.62 (–0.09%) — the long end has barely moved despite the hawkish tilt, suggesting the rate path is already priced. *Avoid Erosion.*

4. The Powell-to-Warsh succession is now the rates-curve subtext into May 15.

Powell announced Wednesday at the FOMC press conference that he plans to continue serving on the Board of Governors after his term as chair expires May 15, with former Fed Governor Kevin Warsh confirmed by the Senate Banking Committee per CNBC and Foxbusiness reporting. The 8–4 dissent was the largest at an FOMC meeting since 1992 per CNBC reporting. The four dissenters reportedly favored removing the easing bias from the statement, indicating internal positioning is tilting more hawkish than the headline hold suggests. The combination of a hawkish dissenting bloc, an incoming Warsh chairmanship widely viewed as more market-disciplined, and an ISM prices-paid print today that could approach the highest reading since June 2022 frames a rate-sensitive backdrop that supports the IOWN dividend sleeve's real-asset and pricing-power orientation: ATO (+2.30%), BKH (+1.32%), NEE (+3.94%), DGX (+2.58%), and ABT (–0.59%). *Simplicity Over Complexity.*

5. The digital-asset sleeve held in firmly even as crypto rallied on Fed-easing positioning.

IBIT closed at \$43.32 (+1.33%) and ETHA at \$17.08 (+1.36%), with Benzinga reporting that crypto-related equities advanced on a combination of Middle East de-escalation, dollar weakness, and renewed bets on Fed easing despite Wednesday's hawkish FOMC tilt. Bitcoin spot is trading near \$77,000–\$78,000 per CryptoSlate and CryptoRank coverage, recovering from the early-week pullback that pressured leveraged longs. HUT advanced 6.73% to \$75.78 on the closing of \$3.25B in investment-grade senior secured notes for the River Bend Data Center per Finnhub, and MARA rallied 11.85% to \$11.99 on the broader crypto-equity bid. The HUT, MARA, CRDO crossover with AI-power infrastructure remains the cleanest digital-physical IOWN linkage; the institutional-debt absorption at HUT validates the financing path for power-adjacent crypto operators. *The physical world matters.*

6. The dispersion in IOWN reporting today narrows to the consumer-staples and integrated-energy sub-sleeves.

Beyond CVX, CL, and CHD's pre-market prints, the cohort that has now reported across the week shows a clear pattern: industrials and energy-adjacent names (CAT, GD, VLO, CNX) are beating with raised guidance, healthcare and analog (SYK miss) are facing operational dispersion, and the AI-edge complex (QCOM beat) is driving outsized single-name moves. The aggregate read is constructive for IOWN's dividend sleeve's cash-flow orientation but flags continued dispersion within the growth sleeve heading into next week's remaining prints. ABT, ADI, ATO, FAST, NEE, ORI, PCAR, STLD, TEL, AMD, AEM, COIN, EIX, FCX, FTNT, HOOD, MRVL, NXPI, OKE, SYF, TSM, TOL, and VST all carry forward exposure to either the May earnings calendar or the May 7 CTRA index-rebalance flow. **Think Like an Owner.**

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